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Hidden Costs of Car Ownership: Drivers Spend \$5,851 Per Year on Upkeep



The highest hidden cost of car ownership is car insurance, with an average annual cost of \$2,237 for full coverage.



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Most Americans depend on a car for daily life. Higher vehicle prices make that more difficult, and as prices have risen, the cost of upkeep has followed. Insurify analysis shows drivers now spend

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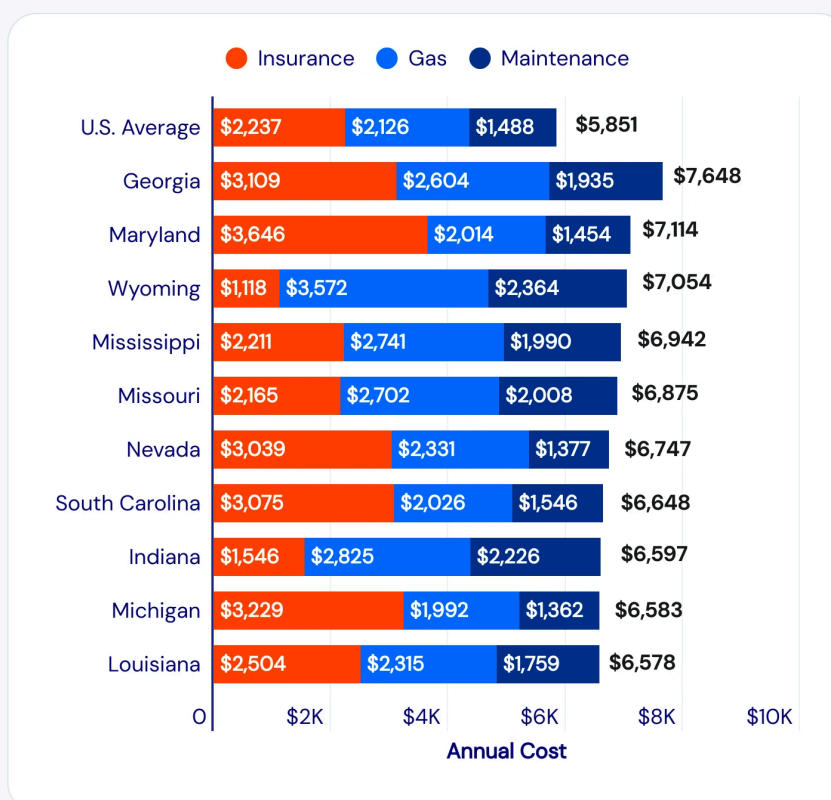
an average of \$5,851 annually on car ownership costs, including insurance, gas, and maintenance.

Full-coverage car insurance makes up the biggest chunk of these ownership costs. The average annual cost of coverage has grown 44% in the past five years, reaching \$2,237. The Iran war has raised the cost of gas, and vehicle maintenance costs have been climbing for years as cars get more technologically advanced. In certain parts of the U.S., drivers are facing especially steep ownership costs.

Car ownership can get even more expensive depending on a driver's location. Rural states require more driving, which often leads to higher gas costs. Meanwhile, densely populated states often have higher car insurance rates because more traffic leads to more collisions. Overall, Georgia has the highest car ownership costs, at \$7,648 annually, nearly double the cost of New Hampshire (\$4,063), the cheapest state.



Hidden Costs of Car Ownership: The Most Expensive States



Source: Analysis of Insurify and AAA data, August 2026

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The cost of car ownership changes based on driving habits, accident history, and the car model, among other factors. Insurify excluded registration fees from the analysis, as different states

have different pricing structures and fees [can range from \\$8 to \\$900](#) depending on location and vehicle factors. Sales tax, depreciation, and auto loan costs are also excluded, as these costs are one-time, tied to financing, or only realized when sold.

Key findings

- In addition to loan payments, the average American driver spends \$5,851 annually on vehicle upkeep, 7.2% of the median household income. The largest component is full-coverage insurance (\$2,237), followed by gas (\$2,126), and maintenance/repairs (\$1,488).
- Georgia is the most expensive state for car ownership, with upkeep costing \$7,648 annually. The next most expensive states are Maryland (\$7,114), Wyoming (\$7,054), and Mississippi (\$6,942).
- Based on median income, Mississippi and Louisiana are the least affordable states for car ownership. Hidden car costs take up 11.7% of the median annual income in Mississippi and 10.8% in Louisiana.
- On average, EVs have lower ownership costs, at \$5,387 annually, compared to \$5,834 for gas-powered cars. EV drivers have more expensive insurance, but they spend about \$1,300–\$1,400 less on fuel annually.

The most expensive states for car ownership

Affordability is a top concern for Americans. Nearly 3 in 5 Americans (57%) say gas prices are unaffordable, while 54% say car maintenance is unaffordable, a [recent Insurify survey found](#).

To identify the most expensive states for car ownership, Insurify reviewed full-coverage insurance premiums and estimated gas and maintenance spending.

Hidden Costs of Car Ownership by State

State	Total Annual Hidden Cost of Car Ownership	Full-Coverage Car Insurance, Annual Cost	Regular Gas, Estimated Annual Cost	Regular Maintenance Estimated Annual Cost
Alabama	\$6,038	\$1,707	\$2,471	\$1,860
Arkansas	\$5,965	\$1,829	\$2,397	\$1,739
Arizona	\$5,616	\$1,953	\$2,233	\$1,430
California	\$6,223	\$2,395	\$2,488	\$1,340
Colorado	\$6,032	\$2,603	\$2,028	\$1,401
Connecticut	\$5,734	\$2,652	\$1,803	\$1,279
District of Columbia	\$5,780	\$3,880	\$1,101	\$799

Insurance premiums come from Insurify's proprietary quote database. Estimated gas spending comes from American Automobile Association (AAA) price data, adjusted for the average mileage driven by state. Estimated maintenance spending uses AAA cost data, adjusted for mechanic wages by state.

Insurify's analysis shows that longer commutes play a significant role in ownership costs. For example, drivers in states like Wyoming pay more on auto upkeep than drivers in places like California or New York, in part due to higher mileage and accumulating more maintenance needs.^[1]

State ^ v	Total Annual Hidden Cost of Car Ownership	Full-Coverage Car Insurance, Annual Cost	Regular Gas, Estimated Annual Cost	Regular Maintenance Estimated Annual Cost
United States	\$5,851	\$2,237	\$2,126	\$1,488
Alabama	\$6,038	\$1,707	\$2,471	\$1,860
Arizona	\$5,616	\$1,953	\$2,233	\$1,430
Arkansas	\$5,965	\$1,829	\$2,397	\$1,739
California	\$6,223	\$2,395	\$2,488	\$1,340

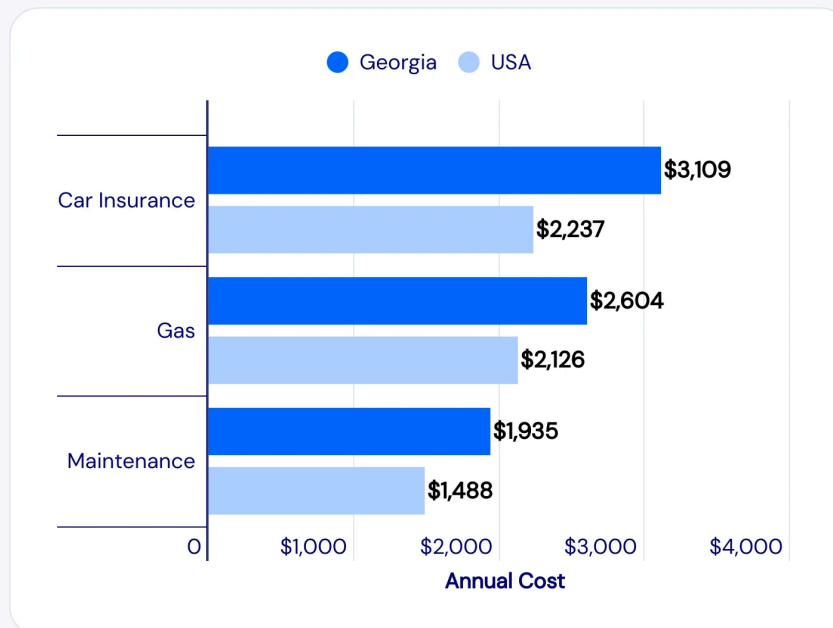
State ^ v	Total Annual Hidden Cost of Car Ownership	Full-Coverage Car Insurance, Annual Cost	Regular Gas, Estimated Annual Cost	Regular Maintenance, Estimated Annual Cost
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Insurify excluded Alaska due to low data volume. Figures may not sum exactly due to rounding.

1. Georgia

- **Average annual cost of ownership:** \$7,648
- **Share of median household income required:** 9.6% of \$79,991
- **Most expensive cost:** Car insurance (\$3,109)

Hidden Costs of Car Ownership in Georgia



Source: Analysis of Insurify and AAA data, August 2026

INSURIFY

Georgia drivers pay the most when it comes to recurring costs for car ownership. The average cost of full-coverage insurance in Georgia is up 40% (\$900) from three years ago, with insurers raising rates following higher claims costs. Georgia drivers also tend to pay more annually for gas and car maintenance, in part due to higher mileage totals. The typical Georgian drives [17,508 miles annually](#), the seventh most of any state.

2. Maryland

- **Average annual cost of ownership:** \$7,114
- **Share of median household income required:** 6.9% of \$102,905
- **Most expensive cost:** Car insurance (\$3,646)

Maryland is the most expensive state for car insurance, and that alone is enough to make it the second most expensive state for car ownership overall. Drivers pay \$3,646 annually for full coverage, 63% more than the national average (\$2,237). A high portion of Maryland residents live in cities, which leads to more traffic and accidents. The state also reports a high number of car insurance claims for its size, which often leads to higher premiums.

Maryland's annual spending on maintenance and gas, however, both come in below the national average.

3. Wyoming

- **Average annual cost of ownership:** \$7,054
- **Share of median household income required:** 9.3% of \$75,532
- **Most expensive cost:** Gas (\$3,572)

Wide open spaces translate into higher costs for Wyoming drivers. Wyoming residents drive an average of 21,588 miles annually, more than in any other state and about 8,000 more than the national average (13,482). That higher mileage also contributes to more maintenance needs. Gas prices are also higher than the national average (\$4.24 vs. \$4.01 per gallon). As a result, Wyoming drivers spend \$3,572 on gas annually, 68% above the national average (\$2,126).

One bright spot, though, is that drivers pay about half the national average for full-coverage car insurance (\$1,118 vs. \$2,237).

4. Mississippi

- **Average annual cost of ownership:** \$6,942
- **Share of median household income required:** 11.7% of \$59,127
- **Most expensive cost:** Gas (\$2,741)

Mississippi is the fourth most expensive state for car ownership, but based on local incomes, it's the least affordable. Car ownership costs come out to \$6,942 annually. The median household income in Mississippi is \$59,127, the lowest of any state. This means drivers spend 11.7% of the median household income on vehicle upkeep. For comparison, the most affordable state is New Hampshire, where vehicle upkeep requires about 4.1% of annual household income.

Although gas prices are lower than average in Mississippi, residents drive about 19,517 miles annually, which causes them to spend more on gas and maintenance.

5. Missouri

- **Average annual cost of ownership:** \$6,875
- **Share of median household income required:** 9.6% of \$71,589
- **Most expensive cost:** Gas (\$2,702)

Missouri drivers pay about \$1,000 more in annual car ownership costs than the average American. Maintenance costs play a big role in the discrepancy, with Missourians paying \$2,008 annually for car maintenance, 35% above the national average. That's the third-highest maintenance total of any state. It ranks above Mississippi for maintenance costs, despite Mississippians driving more miles, because Missouri auto service technicians make about \$4 more per hour (\$25.94 vs. \$21.95).

Fortunately, Missouri drivers benefit from full-coverage car insurance costs that fall below the national average (\$2,165 vs. \$2,237) and that have dropped 6% in the past two years.

**Despite expensive insurance,
EVs have lower upkeep costs
than gas-powered cars**

Gas prices have gotten a lot of headlines in 2026, with the average cost of a gallon going from \$2.80 at the beginning of the year to more than \$4.^[2] As a result, some potential car buyers have their eyes on EVs. In the first month of the Iran war, used EV sales jumped 54% month over month.^[3]

Insurify's analysis shows the typical EV driver spends \$1,442 less on fueling up annually, or \$1,316 if including the average cost of a state EV surcharge to offset the loss of gas taxes. Combining this with insurance and maintenance costs, EV drivers spend about \$447 less annually on regular upkeep.

It's worth noting that EVs can become more costly, especially in the event of an accident. Insurify's maintenance costs are based on regular upkeep, but if damaged, the typical EV repair costs \$6,042, 23% more than the typical gas-powered car (\$4,902).^[4] Higher repair costs are one reason EV drivers pay [more for full-coverage insurance](#) than drivers of gas-powered cars.

Tips: How to save money on hidden car ownership costs

The rising cost of living has put Americans' budgets under more pressure. Three-quarters of Americans (76%) said they've cut back

on spending [because of higher gas prices](#). But resourceful drivers can end up spending less on hidden car ownership costs by following certain practices.

Pricing for car insurance, the highest recurring cost, changes from month to month and from insurer to insurer. Drivers can end up overpaying if they assume that their previous policy is still the most affordable and best for their needs. [Comparing car insurance](#) gives drivers the chance to see whether they can find a similar policy for a much lower premium.

Americans also have some options for coping with high gas prices. Among the most popular is looking for ways to drive less, like combining errands or using public transportation. When it's time to refill the gas tank, drivers can use gas price comparison apps that show a map of nearby stations with prices. They should also consider using debit cards rather than credit if their credit card rewards aren't enough to offset the credit surcharge.

Driving less can help car owners spend less on maintenance, although some maintenance needs are inevitable. Drivers can extend the life of their tires by making sure they're properly inflated, avoiding uneven wear. As a bonus, proper tire inflation also improves gas mileage.

Drivers should be conscious of how their driving habits affect their car maintenance, as those who frequently accelerate and engage in hard braking can wear through brakes faster. Drivers can consider completing low-effort maintenance tasks, like changing air filters, on their own. Additionally, delaying maintenance can lead to pricey repairs down the line, so drivers should keep a maintenance log. This could be a photo album of the car with notes and receipts from mechanics.

Methodology

Insurify's analysis on the hidden costs of car ownership uses three primary metrics: annual full-coverage car insurance costs, annual average estimated gas spending, and annual estimated maintenance spending. For EVs, a fourth metric, the EV surcharge, is based on an average of Tax Foundation state data.^[5]

Average insurance premiums in this analysis come from more than 250 million rates in Insurify's proprietary database, quoted via

integrations with partnering insurance companies. Driver applications originate from all 50 states and Washington, D.C., and include information on the exact coverage specifications of each driver's quoted policies. Insurify excluded Alaska data due to lower quoting volume.

The premiums in this report reflect the median insurance cost for drivers between the ages of 20 and 70 with clean driving records and average or better credit, unless otherwise noted. Yearly prices in this report are two-year rolling medians to manage extreme market volatility over the past few years. Full-coverage premiums correspond to policies with bodily injury limits between state-minimum requirements and \$50,000 per person, \$100,000 per accident; property damage coverage between \$10,000 and \$50,000; and comprehensive and collision coverage with deductibles of \$1,000.

National and state gas spending estimates are based on [mileage data](#) from the U.S. Department of Transportation's Federal Highway Administration (FHWA). Insurify applied those mileages to average gas prices by state as of mid-August, according to AAA data, using a standard efficiency rate of 25.6 miles per gallon.^[6] ^[7]

National and state maintenance estimates are based on FHWA mileage data, applied to AAA's national average maintenance cost of 11.04 cents per mile.^[8] Because maintenance labor costs vary by location, Insurify adjusted a portion of estimated maintenance costs based on state wages for automotive service technicians and mechanics, sourced from the U.S. Bureau of Labor Statistics.^[9]

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